

Minutes of the Combined Meeting of Committee on Regulatory Matters and Policy Related Matters held virtually on 24th October, 2025 at 4.00 PM.

At the outset, Shri Satyendra Nath Kalita, Director (Regulatory Affairs) of AIDA welcomed the members of the AIDA Committee on Regulatory Matters and Policy Related Matters. The agenda of the meeting included four key proposals as below:

1. Draft Electricity (Amendment) Bill, 2025
2. Draft Central Electricity Authority (Technical Standards for Construction of Electrical Plants and Electric Lines) (2nd Amendment) Regulations, 2025
3. Draft Central Electricity Authority (Cyber Security in Power Sector) Regulations, 2025.
4. Implementation of Market Coupling in the Day-Ahead Market (DAM) and Real-Time Market (RTM), a copy of the letter dated 17.10.2025 shared by Bihar State Power Holding Co. Ltd.

During the meeting, the following inputs/suggestions given by respective Committee Members:

Draft Electricity (Amendment) Bill, 2025

Shri Alok Kumar, Director General, AIDA took up the agenda item on the Draft Electricity (Amendment) Bill, 2025 and highlighted key provisions proposed in the Bill.

DG, AIDA explained that the amendments to Sections 61(g) and 64(1) pertain to ensuring cost-effective tariffs, gradual reduction of subsidies, and providing exemptions from cross-subsidy for specific consumer categories such as manufacturing enterprises, railways, and metro rail systems after five years. The amendments also empower the Regulatory Commission to determine tariffs suo moto in case no petition is filed.

DG, AIDA suggested that while the proposal aims to reduce cross-subsidies within the power sector, there is also a need to address cross-subsidies borne by the power sector for other sectors. He cited two examples — (i) the cross-subsidization of railway passenger traffic through higher coal freight, and (ii) the waiver of ISTS transmission charges for green hydrogen production, which benefits sectors outside electricity. He recommended that the Ministry of Power consider similar treatment to ensure parity for the power sector.

Shri Vidyadhar H. Wagle, Tata Power pointed out that the proposed amendment mentions exemption from cross-subsidy and surcharges for railways, metro railways, and manufacturing enterprises. He sought clarification on whether the term “surcharges” refers only to the cross-subsidy surcharge applicable under open access, and whether it would become nil or continue to apply.

DG, AIDA responded that surcharge exists only to compensate for cross-subsidies; therefore, if cross-subsidies are eliminated under the amendment, the question of surcharge does not

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arise. He further noted that any such amendment in the Act would also be automatically align the tariff policy provisions accordingly.

DG, AIDA explained that the proposed insertion of Subsection (4) under Section 43 empowers the State Commission, in consultation with the State Government, to exempt licensees from the obligation to supply electricity to consumers with demand exceeding 1 MW, and to designate a Supplier of Last Resort if a generator fails to supply.

DG observed that designating a Supplier of Last Resort for large industrial consumers may not be practical, as distribution licensees may not have sufficient contracted capacity to meet such sudden demands. He suggested that if large consumers are exempted from the universal supply obligation, they should be required to procure power directly from the market rather than being assigned another licensee for supply.

Shri Vidyadhar H. Wagle, Tata Power pointed out that under the proposed amendment to Section 9(1), allowing the appropriate government to prescribe eligibility criteria for captive power plant could lead to different rules across states. He suggested that there should be a uniform framework, guided by the Central Government rules, similar to how state commissions frame tariff regulations under the guidance of CERC.

DG, AIDA agreed with the suggestion and stated that the point is well taken and will be incorporated in the comments.

DG, AIDA observed that under the proposed amendment to Section 86(1)(e), the Central Government will specify the minimum percentage of electricity to be procured from non-fossil fuel sources, which the State Commissions must adhere to. He emphasized that since this provision directly impacts state-level implementation, the Central Government should consult State Governments before notifying such targets. He suggested that this requirement of consultation be explicitly included in the Act to ensure coordination and smooth execution.

DG, AIDA explained that under the proposed amendment to Section 58, the Standards of Performance (SOP) prescribed by State Commissions should not be inferior to the minimum standards set by the Central Government. He suggested that while framing these standards, the Central Government should consult the State Governments, and there should be differentiated SOPs for rural and urban areas, keeping in view the varying infrastructure conditions. He added that although the long-term goal should be to bring parity between rural and urban standards, the trajectory of improvement may differ across regions.

DG, AIDA explained that the proposed insertion of Clause (20a) and amendment to Section 164 introduce the concept of an Electric Line Authority and incorporate provisions similar to those earlier derived from the Telegraph Act, now brought directly under the Electricity Act. He noted that while the amendment strengthens legal clarity and cybersecurity provisions, its scope should be limited to transmission lines. Extending these provisions to distribution

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networks could create implementation issues, as procedures such as route publication and compensation presently apply only to transmission projects.

Shri Vidyadhar H. Wagle, Tata Power, added that the definition of Electric Line Authority appears analogous to entities like the Central Electricity Authority and could be interpreted as referring to a transmission or distribution licensee. He emphasized the need to clarify that the Electric Line Authority refers to the person or licensee authorized by the appropriate government to undertake such works.

DG, AIDA agreed, clarifying that similar to current practice under Section 164, the appropriate government may nominate the transmission licensee—such as Power Grid or a TBCB licensee—as the authority for transmission lines, consistent with existing notifications issued under the Telegraph Act.

Shri Paresh Bhagwat, ED (Billing), MSEDCL expressed concern on proposed amendment in section 126(5) —fixing the assessment period at 12 months— that limiting the assessment to one year could disadvantage DISCOMs, particularly in cases of power theft detection, where identifying and establishing the date of occurrence often takes time due to the large consumer base. He suggested aligning the provision with the Limitation Act, which allows recovery of dues up to two years.

DG, AIDA agreed that the amendment could reasonably be modified to extend the assessment period from one year to two years, ensuring consistency with existing legal provisions on arrear billing and recovery.

DG, AIDA highlighted that the proposed provision on Amendment to Section 14 (Sixth Proviso) and Amendment to Section 181 (2) regarding network sharing is a significant change. He suggested that the Electricity Act should explicitly empower the State Electricity Regulatory Commissions (SERCs) to determine the allocation of costs and responsibilities among parallel licensees operating in the same area. Specifically, he proposed that the law should provide for equitable sharing of Power Purchase Agreement (PPA) costs of the incumbent licensee, distribution losses (particularly losses beyond normative levels), and Cross-subsidy imbalances arising from differing consumer mixes.

He later added, based on Shri Kanishk Khettarpal's (BSES) suggestion, that regulatory assets should also be included, as these cannot be solely imposed on the incumbent licensee.

Shri Vidyadhar H. Wagle, Tata Power, shared Mumbai's experience with parallel licensing between Tata Power and Adani Electricity, noting that such arrangements already function within the current framework, with cross-subsidy surcharge and wheeling charges being paid appropriately. He pointed out that the issue of distribution losses may not arise in practice, as the incumbent licensee is reimbursed for power at the transmission-to-distribution interface.

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DG, AIDA clarified that his concern was about situations where actual losses exceed normative levels, and emphasized that the excess losses, regulatory assets, cross-subsidy balances, and PPA costs must all be equitably shared among licensees to avoid financial imbalance for the incumbent. He further noted that parallel licensing should not be equated with open access, and hence, requires distinct provisions in the law for fair cost-sharing and regulatory clarity.

DG, AIDA noted that the proposed proviso allowing the Appellate Authority to waive or reduce the deposit under Section 127(2) is unnecessary, as the pre-deposit has already been lowered from 50% to one-third. He cautioned that such discretion may lead to frivolous appeals and suggested any relaxation should be by State Government notification. ED (Billing), MSEDCL supported this view.

Legal Briefs and Legal Advice Requests

DG, AIDA informed that AIDA has been preparing legal briefs on important issues with assistance from legal expert Mr. V. M. Kannan, and around 13 such briefs have already been shared with DISCOMs. He invited members to suggest legal topics on which they require guidance, rather than AIDA sending briefs unilaterally.

Shri Sanjay Chaurasia, UPPCL raised a query regarding the due date for computing Late Payment Surcharge (LPS)—whether it should follow the billing date as per the agreement or as per the LPS Rules.

Shri V. M. Kannan clarified that this is indeed an issue of legal interpretation since the billing agreement and LPS Rules may stipulate different due dates or rates.

DG, AIDA acknowledged the concern and assured that a legal brief would be prepared on this issue and shared with all DISCOMs. He also encouraged other members to share similar legal matters needing AIDA's assistance.

DG, AIDA further suggested that in case any new petitions are filed before the Hon'ble CERC that have wider implications or are of common importance to multiple DISCOMs, the concerned DISCOMs may kindly share such petitions with AIDA at the earliest. AIDA, with the assistance of its legal advisor, Mr. Kannan, will examine such petitions and provide necessary support and suggested points to the concerned DISCOMs for inclusion in their replies or submissions before the Commission.

Draft Central Electricity Authority (Technical Standards for Construction of Electrical Plants and Electric Lines) (2nd Amendment) Regulations, 2025.

DG, AIDA took up the next agenda item on the CEA Draft Central Electricity Authority (Technical Standards for Construction of Electrical Plants and Electric Lines) (2nd Amendment) Regulations, 2025. He briefly highlighted that the draft amendment introduces definitions and a new Chapter 6 covering technical standards for Renewable Energy-based power plants such

as solar, wind, and Battery Energy Storage Systems (BESS). It was mentioned that while most provisions are general in nature, specific technical parameters have been proposed for BESS.

Shri S.N. Kalita, Dir (RA), AIDA suggested that the clause 147, which specifies the technical standard of base RTE at 70%, appears to be on the lower side. He recommended that the RTE should be at least 85% or higher, considering advancements in technology and the availability of more efficient and cost-effective options.

DG, AIDA requested member DISCOMs to examine the draft regulations in detail—particularly Section 147 relating to BESS technical specifications—and share their comments or suggestions with AIDA within a week for compilation and submission to CEA.

Draft Central Electricity Authority (Cyber Security in Power Sector) Regulations, 2025.

DG, AIDA took up the next agenda item on the Draft Central Electricity Authority (Cyber Security in Power Sector) Regulations, 2025. He informed that the draft regulations were discussed in the previous day's meeting on emerging market technologies and that preliminary comments had been compiled. Key points discussed included:

- (1) Clause 8(1)(e): It was suggested that appointment of a full-time CISO may not be practical for smaller DISCOMs; hence, the provision may allow part-time or dual-role CISOs.
- (2) Clauses 9(1) and 9(6): Members observed inconsistency between “logical separation” and “complete isolation” of IT and OT systems, and suggested that logical isolation should be considered adequate.
- (3) Clause 12(1): It was proposed that only significant cyber security incidents should be reportable, and the term “cyber security incident” should be clearly defined.
- (4) Clause 10: The requirement of 15 years' experience for CISO was considered excessive; members recommended reducing it to about 5 years or allowing personnel with relevant IT/OT experience to be considered.
- (5) Clause 13(18): On backup provisions, it was suggested that online backups be taken at short intervals (10–15 minutes), while offline backups may be maintained on a monthly basis.

DG, AIDA requested all member DISCOMs to review the draft regulations and share any additional comments with AIDA within a week for compilation and submission to CEA.

Implementation of Market Coupling in the Day-Ahead Market (DAM) and Real-Time Market (RTM), as shared by Bihar State Power Holding Co. Ltd.

DG, AIDA informed that Shri Manoj Kumar Singh, CMD, Bihar State Power Holding Company Ltd., has addressed a letter to the Hon'ble CERC (copy endorsed to AIDA) recommending early

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implementation of Market Coupling, highlighting its potential benefits to DISCOMs. The matter was brought to the notice of the Committee for information and views.

During the discussion, UPPCL representative expressed support for the proposal, stating that market coupling would help in real-time price discovery based on actual market volumes and is therefore a welcome step that should be implemented at the earliest.



Satyendra Nath Kalita)

Convenor, AIDA Committee

List of the participants is annexed below:

Committee Members present

1. Shri Satyendra Nath Kalita, Director (Regulatory Affairs), AIDA
2. Shri Paresh Bhagwat, ED, MSEDCL
3. Shri Vidyadhar H Wagle, Tata Power
4. Shri Sanjay Chaurasia, UPPCL
5. Shri Kanishk Khettarpal, BRPL
6. Shri B. Ashok Kumar, CGM/RA, APEPDCL
7. Ms. Prachi Jain, CPDL
8. Shri Shishir Singh, Director, PuVVNL

Others present:

1. Shri Alok Kumar, Director General, AIDA
2. Shri Khajan Bhardwaj, Director (Technical), AIDA
3. Shri Sudhir Kumar, Research Officer, AIDA
4. Ms. Garima Morya, Research Officer, AIDA
5. Shri VM Kannan, VMK Law Office